

periods of accelerating earnings growth.

- Some of the most attractive opportunities occur in beaten-down, forgotten stocks, which perhaps after years of losses are returning to profitability.
- During such periods of rapid share price appreciation, stock prices can reach lofty P/E ratios. This shouldn't necessarily deter one from continuing to hold the stock.

Hansen Natural (now Monster Beverage) is a classic illustration of these points.

Tony showed how earnings growth rates went from negative in 2001 to 0 percent in 2002. From there, earnings increased on a quarterly basis by 20 percent, 40 percent and then 100 percent. In 2004, quarterly earnings growth accelerated to 120 percent, and then 150 percent, 170 percent and finally 220 percent by the fourth quarter.

Meanwhile, the price-earnings ratio also ramped up. In 2001, earnings were just 4 cents per share and the stock had a P/E of 10. By 2006, earnings were about \$1 per share and the P/E was 50.

Think about that. Earnings went up 25-fold, but thanks to the market putting a bigger multiple on those earnings, the stock went up 125-fold. (We'll look at Monster Beverage in more detail in the next chapter.)

Growth, growth and more growth are what power these big movers.

There was a good case study of a 100-bagger recently posted on the Microcap Club's website by Chip Maloney. This is worth spending a little time on and illustrates Tony's principles. Maloney reviewed MTY Foods, which is a Canadian franchisor of quick-service restaurants such as Thai Express, Extreme Pita and TCBY.

In 2003, MTY Foods had a \$5 million market cap. Every dollar invested in MTY Foods then was worth \$100 by 2013. The question Maloney asks is the question I've asked myself many times in writing this book. Essentially, how did this 100-bagger become a 100-bagger?

In this case, the story begins with Stanley Ma, who became president of the company in 2003. MTY had a fast-food franchising business. And Ma

“was the entrepreneur who started the company's very first restaurant concept Tiki Ming — Chinese Cuisine in 1987 as a recent